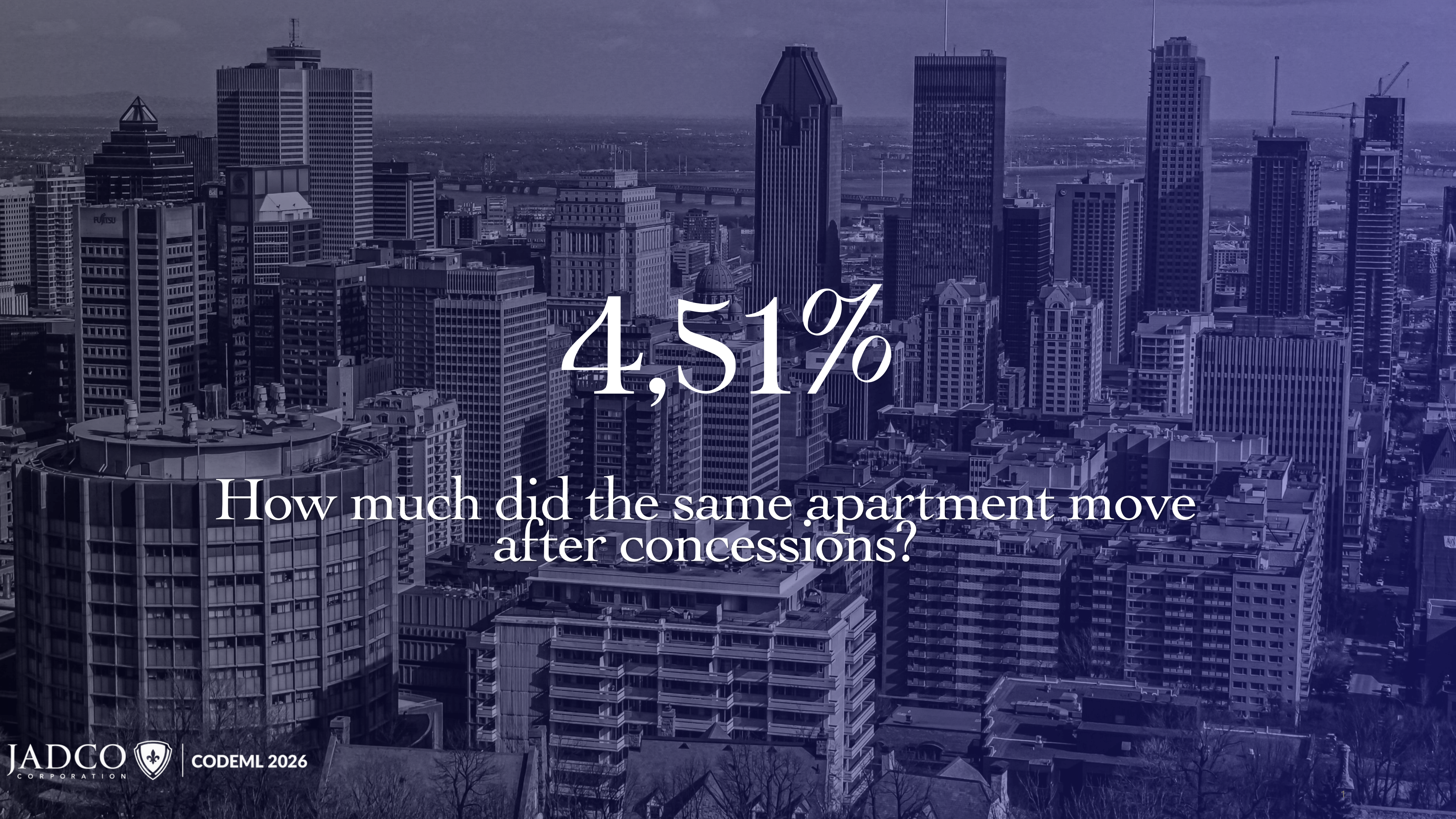
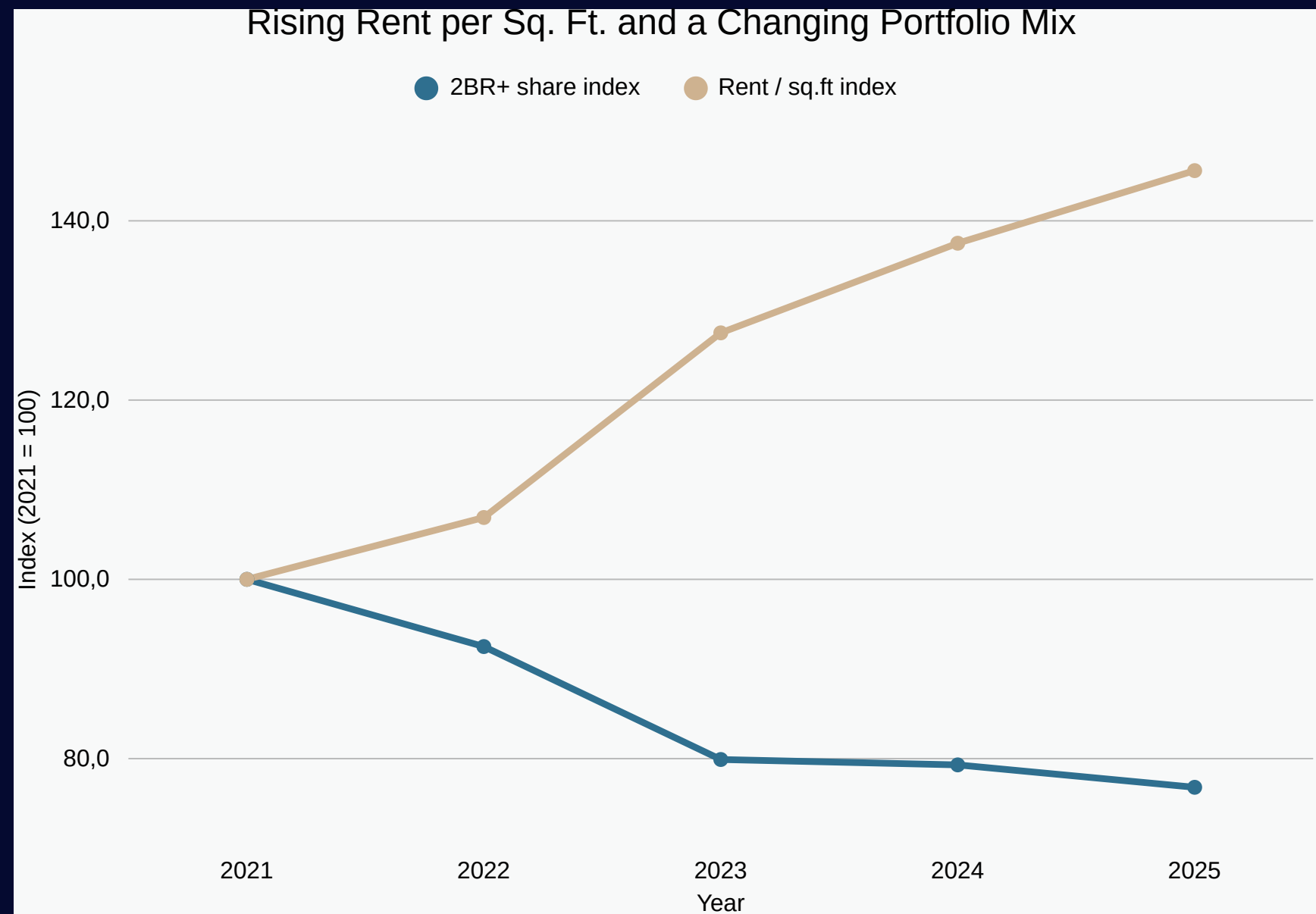


An aerial photograph of a dense urban skyline, likely New York City, featuring numerous skyscrapers and apartment buildings. The image is overlaid with a semi-transparent blue filter. The text '4,51%' is prominently displayed in the center in a large, white, serif font.

4,51%

How much did the same apartment move
after concessions?

Our first issue: portfolio mix



2023–2024 brought new premium assets online
Le Carlyle and The Met in 2023; Westpark in 2024

78% → 60%
2BR+ lease share

1,175 → 1,025
median sq.ft

\$1.60 → \$2.33
rent / sq.ft

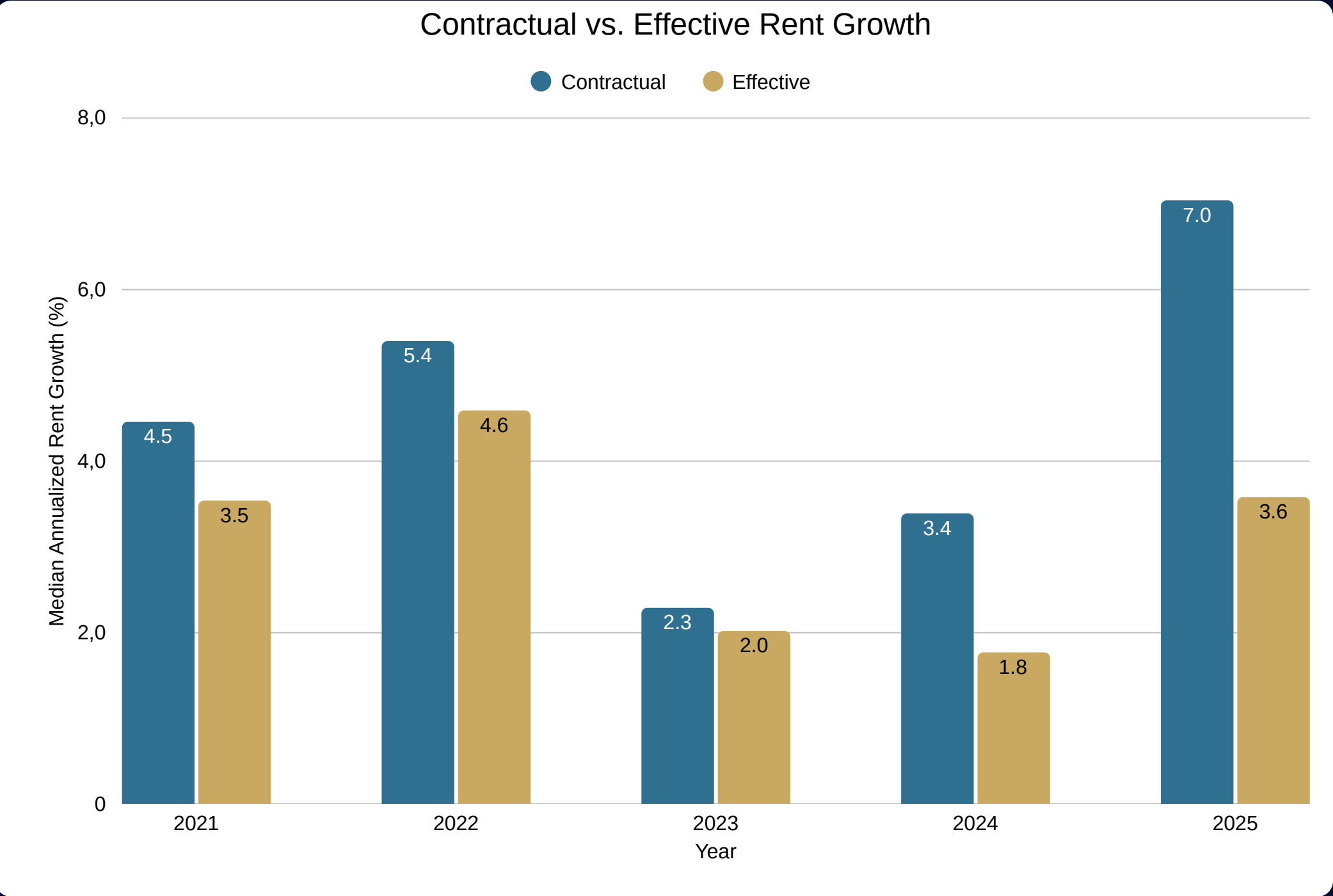
Implication: a rising portfolio median can reflect which units were leased, not how much each unit’s rent increased.

We rebuilt the metric around the unit, not the portfolio



Guardrail: the notebook excludes short gaps below 0.5 year for homogeneity, but sensitivity shows the effect is below 0.1 pp.

Concessions materially change the economic signal



2025 concession drag

$7.05\% - 3.58\% = 3.47 \text{ pp}$

Management readout

The lease rate can rise faster than the cash economics when promotions are used to close leases.

This is why the forecast is based on effective rent.

Renewals and turnover do not behave the same way

Quebec — Turnover

5.80%

253 pairs

Quebec — Renewal

2.97%

410 pairs

Ontario — Turnover

5.45%

54 pairs

Ontario — Renewal

2.46%

63 pairs

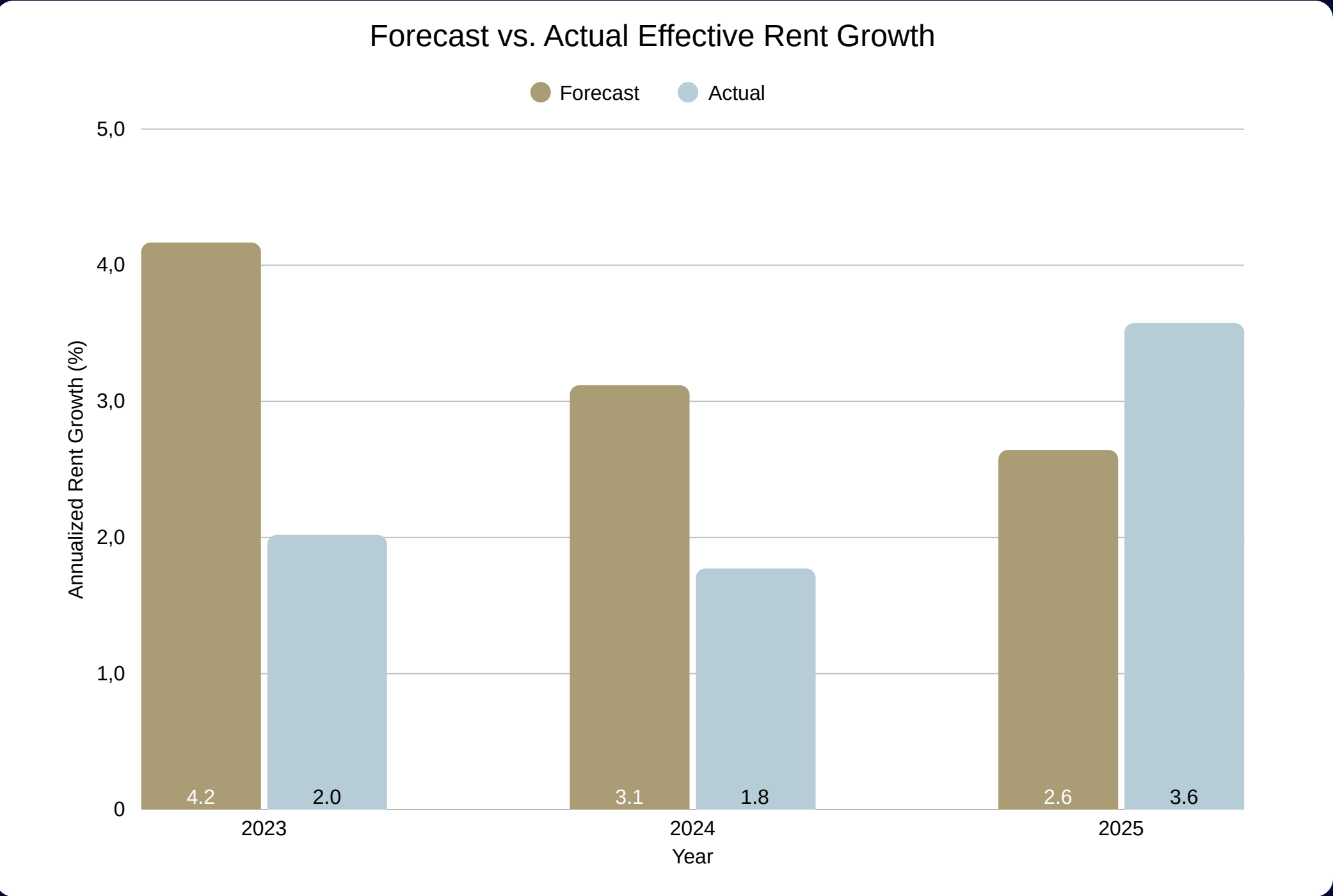
The forecast is a simple bridge: asking signal minus concession drag



Why not plug CMHC or CPI directly into the formula?

Because those series describe the market, not the exact rent mechanics of this portfolio. We use them as a sanity check, not as arbitrary weights.

The method was tested as if we were forecasting in prior years



Official backtest MAE **1.48 pp**

2023 **+2.15 pp** hardest year

2024 **+1.35 pp** improving

2025 **-0.93 pp** closest

Why 2023 was weaker: it was the first year where mix and new premium assets materially changed the historical pattern.

The estimate does not depend on one fragile modelling choice

Alternative concession drag

4.63%

+0.12 pp vs main

Segmented weighted median

4.52%

+0.01 pp vs main

Extended MAE 2019-2025

1.19 pp

same formula, longer check

Signed bias 2023-2025

+0.85 pp

documented, not corrected

 **Management principle:** document model bias, but do not “correct” the forecast on only three official backtests

External data were used as a challenge, not as arbitrary weights



CMHC — Montréal

Turnover rent: +17.2%
Non-turnover: +6.0%

supports turnover > renewal



CMHC — Ottawa

Vacancy: 3.0%
Post-2015 vacancy: 6.7%

caution on The Met



StatCan CPI rent

Québec: +9.6%
Ontario: +3.5%

market temperature check



Ontario guideline

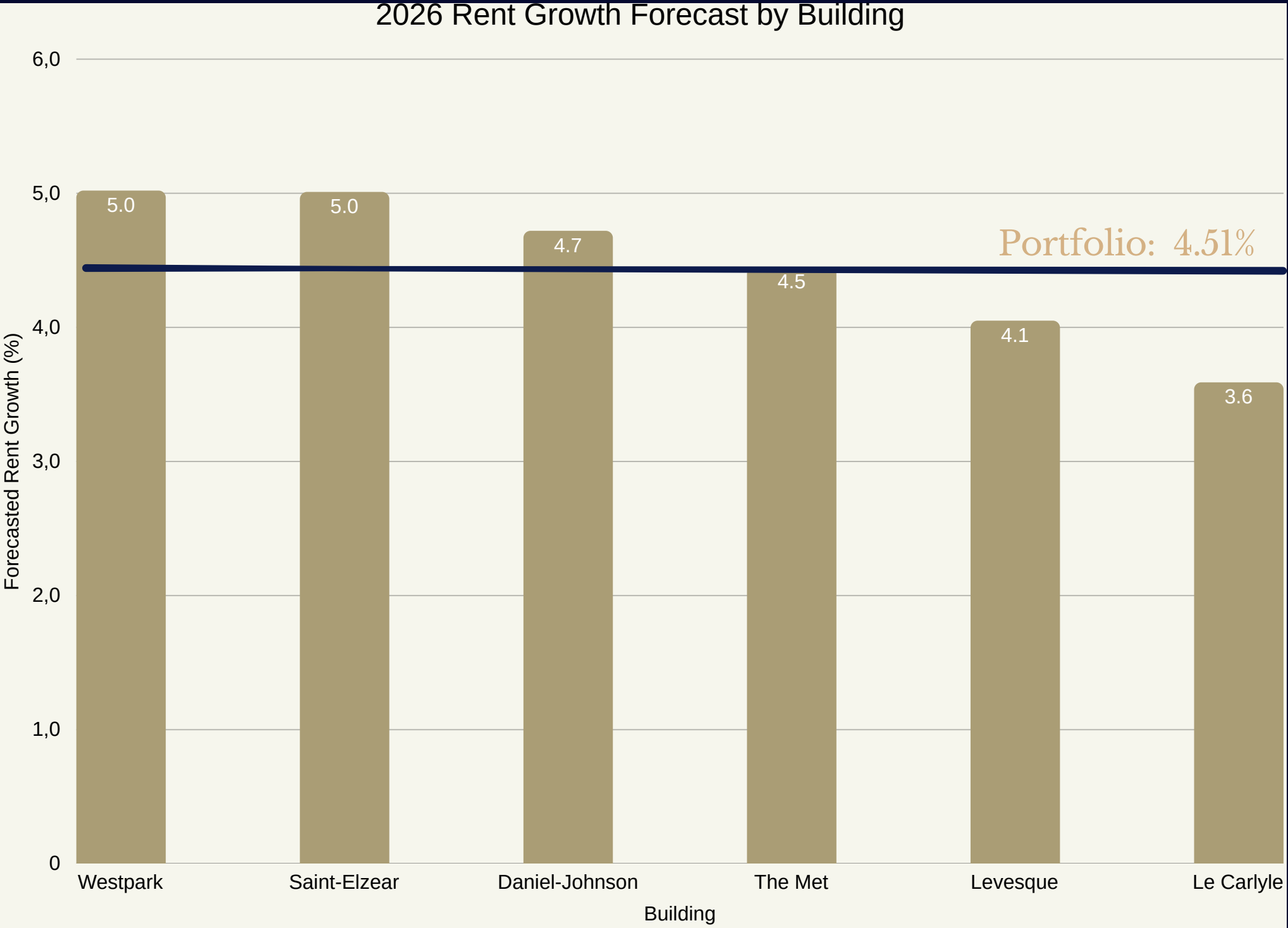
2026: 2.1%

legal lens, not forecast



The external story does not replace the lease-level model. It confirms the direction: stronger Québec pressure, turnover premium, and an Ontario-specific constraint.

The portfolio number should not be applied blindly to every building



Where to push

Westpark and Saint-Elzear show the strongest 2026 signal.

Where to review

Le Carlyle and Levesque trail the portfolio and need more conservative assumptions.

Where to isolate

The Met requires a separate Ontario renewal lens before implementation.

Recommended management actions

Planning assumption

Use 4.51% as the portfolio-level 2026 effective rent growth assumption.

Scenario management

Budget low / central / high cases at 3.04%, 4.51% and 5.99%.

Pricing execution

Review exceptions by building; avoid one flat rate across the portfolio.

Risk monitoring

Track concessions monthly; they are the largest forecast sensitivity.

Data improvements

Add occupancy, move-out reasons, approved legal increases and unit renovation flags.

Bottom line: approve the central forecast, manage building-level exceptions, and monitor concessions as the early warning signal.

References and audit trail

	CMHC	Rental Market Reports and Rental Market Survey data tables, 2022–2025	Market rents, vacancy, turnover vs non-turnover context
	Statistics Canada	CPI, rent component — Table 18-10-0004-01	Rent inflation context for Quebec and Ontario
	Ontario	Residential rent increase guideline, 2026	The Met regulatory context
	TAL Québec	2026 rent adjustment calculation	Post-cutoff reference only, not central forecast input
	Internal JADCO data	Ya26 listings, lease history, concessions and asking history	Core forecast, backtests and segmentation
	No CRM data is included in deliverables. Results shown in the presentation are aggregated.		